FIN42030 – Financial Analysis

Group 21

Starbucks Corporation (SBUX) Report

Date: 6th October 2025

ALLOCATION OF PROJECT WORK

STUDENT ID	NAME	WORK
25235473	Aadil Haris	Valuation (FCFF &FCFE),Investment and Managers commentary
25243471	Jaazim Jaseel	Valuation (FCFF & FCFE)
25241999	Ji Sihan	Risk Factors, M&A Strategy, MD&A
25209500	Luke Monahan	Accounting Analysis
25213415	Sagar Bhagat Punjabi	Financial Statements and Financial Ratios Analysis
25201664	Shruti Avinash Punjabi	Company Overview, DDM valuation, Sensitivity and Scenario Analysis

We hereby declare that this project report is the result of our own work, prepared independently without any unauthorised assistance, and has not been copied or plagiarised from any other source.

All group members are satisfied with the contributions made, and we collectively take responsibility for the content of this report.

MINUTES OF MEETINGS

DATE	AGENDA	DISCUSSION & DECISION
5/9/2025	Company Selection for Project	• Team discussed potential companies for analysis • Finalized Starbucks for the project • Assigned preliminary research task to team members.
8/9/2025	Allocation of Work	• Roles and responsibilities were allocated to each team member • Agreed on timelines for data collection and analysis
25/9/2025	Follow up on Allocated Word	• Reviewed progress of each member assigned task. • Identified areas needing additional data or clarification.
5/10/2025 (Virtual Meet)	Valuation and Discussion of Final Draft	• Conducted online meeting to review valuation analysis • Discussed necessary revision and formatting of final draft
6/10/2025	Final Run-through of report and Excel sheet	• Completed final review of report and excel file • Confirmed report readiness for submission.

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Hold Recommendation

Target Price: $91.00 (4.9% Upside)

Starbucks Corporation (NASDAQ: SBUX)
Sector: Consumer Discretionary

Current Price as of October 2025: $86.72

EXECUTIVE SUMMARY

We assign a Hold recommendation on Starbucks Corporation (NASDAQ: SBUX) with a 12-month target price of $91.00, implying a 4.9% upside from the current market price of $86.72 (as of February 2025). Despite its strong brand equity, robust digital ecosystem, and disciplined capital allocation, Starbucks continues to dominate the global premium coffee market. Despite cost pressures and restructuring, its current valuation seems to capture its near-term growth prospects.

Our valuation is based on a Discounted Cash Flow (DCF) analysis and cross-checked using the Free Cash Flow to Equity (FCFE) and Dividend Discount Model (DDM).

FCFF valuation: $86.70 per share

FCFE valuation: $98.35 per share

DDM valuation: $91.29 per share

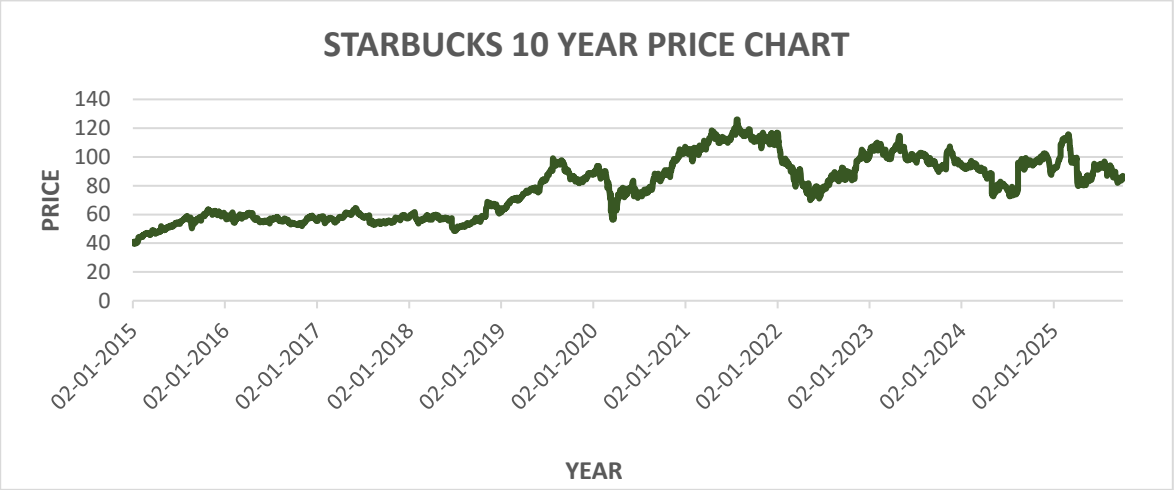
Table 1	Company Data
Current Price	$86.72
Market Cap	110.3B
Shares o/s	1.13B
52 W High	$17.46
EV/EBITDA	18.3X

Table 2	Valuation Results
DCF (FCFF)	86.70
DCF (FCFE)	98.35
DDM	91.29

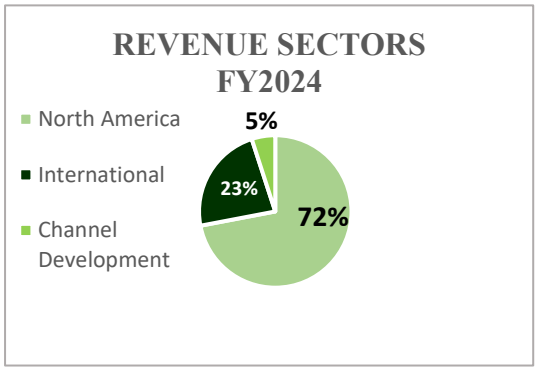
These show that Starbucks is generally valued, with a moderate amount of upside bolstered by consistent cash flows, international growth, and long-term dividends and buybacks for shareholders.

Long-term profitability should be fuelled by the company's strategic priorities, which include international expansion, digital engagement, and store modernization. However, short-term obstacles like inflationary cost pressures, China's slower traffic recovery, and restructuring costs could limit the growth of margins.

In light of this well-balanced risk-reward profile, we advise holding onto Starbucks. There is upside potential if its "Return to Starbucks" campaign is implemented successfully and same-store sales momentum improves.



COMPANY OVERVIEW



Starbucks Corporation, founded in 1971 and headquartered in Seattle, Washington, operates as a roaster, marketer, and retailer of specialty coffee worldwide. The company's operations span **North America, International, and Channel Development segments.**

Its stores offer coffee, tea, and other beverages, as well as pastries, breakfast sandwiches, and lunch items. Through the Channel Development segment, Starbucks distributes packaged coffee, single-serve products, and ready-to-drink beverages under brands such as **Starbucks®, Teavana®, Seattle's Best Coffee®, Ethos®,** and **Starbucks Reserve®.**

The company also licenses its trademarks to grocery and foodservice outlets and partners with the **Global Food Banking Network** to address food insecurity and reduce waste.

Company Vision & Mission

Vision: To establish Starbucks as the premier purveyor of the finest coffee in the world while maintaining our uncompromising principles as we grow.
Mission: To inspire and nurture the human spirit – one person, one cup, and one neighbourhood at a time.

Production and Distribution Overview

Product: Starbucks offers premium coffee, tea, and related beverages under its Starbucks® brand, along with packaged coffee, ready-to-drink items, and food products.
Production Process and Technology: The company sources high-quality Arabica beans globally and roasts them in its own facilities, maintaining quality and sustainability through its C.A.F.E. program.
Distribution Channel: Starbucks sells through company-operated and licensed stores, retail partnerships, digital platforms, and packaged goods in supermarkets, convenience stores, and online channels worldwide.

ESG Factors

Overall, the ESG score increased from 2.37 in 2015 to 4.10 in 2023. Social factors lag, environmental disclosure has improved, and governance is still strong.

Environment

- **Strengths:** Longstanding climate policy, disclosure of emissions risk, adoption of a biodiversity policy in 2018, and an increase in the use of renewable energy (1,355 → 1,613 GWh).
- **Weaknesses:** Limited reporting of climate opportunities, no adoption of TNFD or zero-deforestation, and scope 3 emissions that are still very high (~13–23 MtCO2e).
- **Trend:** Increased transparency, but supply chain impact is the weak point.

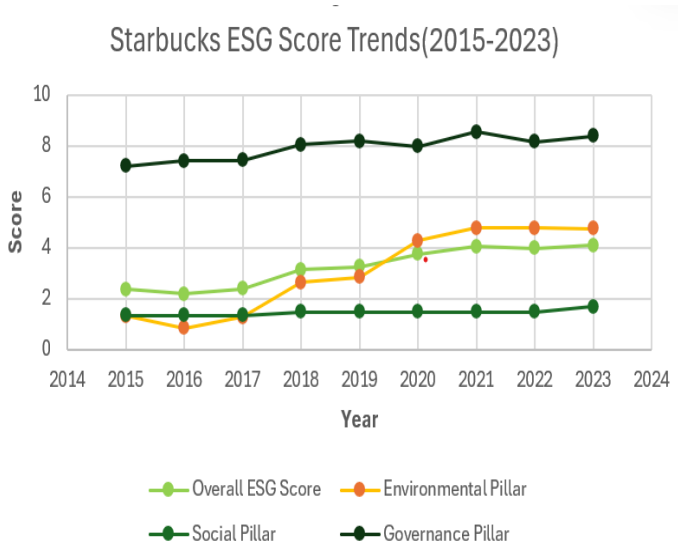


Figure 1 Source: Excel

Social

- **Strengths:** Equal opportunity, gender pay reporting since 2019, human rights, child labour, and training policy since 2021.
- **Weaknesses:** Limited action on unionisation concerns, little transparency in community spending, and no employee engagement or fair pay disclosure.
- **Trend:** Flat; policies are in place, but they are not well disclosed or implemented.

Governance

- **Strengths:** Regular committee activity, strong oversight, board evaluations, share ownership guidelines, and consistently high scores.
- **Weaknesses:** Recent political donations ($2.6M in 2023), a smaller board size (14 → 7 → 10), and a lack of female executives.
- **Trend:** Good governance in general, but pressure points include board composition and diversity.

Peer Comparison

Peer Comparison			
RATIOS	STARBUCKS	MC DONALDS	INDUSTRY
Profitability Ratios			
ROE	-33.72%	-222.31%	-5.65
ROA	7.57%	13.26%	7.59%
Gross Profit Margin	23.74%	56.99%	55.63%
Net Profit Margin	7.17%	32.21%	11.53%
EBIT Margin	9.64%	40.56%	13.96%
Activity ratios			
Asset Turnover	1.15	46.00%	0.7
Inventory Turnover	13.6	221.94	82.23
Receivable turnover	29.06	10.29	32.13
Liquidity Ratio			
Current Ratio	0.76	1.3	1.04
Quick Ratio	0.52	1.03	0.88
Valuation			
P/E Ratio	37.44	25.27	27.4
P/B Ratio	-13.59	-78.42	2.38
P/S Ratio	2.85	8.31	4.59
EPS	3.32	11.45	2.82

Starbucks' premium café model results in higher labour and occupancy costs than fast-food peers like McDonald's, yet it maintains **strong profitability** and cash flows. Its higher P/E and P/S ratios reflect robust investor confidence, backed by a strong brand, digital innovation, and a loyal customer base.

While McDonald's leads in profitability, Starbucks outperforms the industry in growth potential through expansion in China, India, and the Middle East, and by leveraging mobile ordering and loyalty programs.

Negative equity primarily reflects share buybacks, not financial weakness.

Key Recent Events & Their Financial Implications.

1) **$1 B Restructuring: Store Closures & Job Cuts**
   Starbucks involved closure of stores which are underperforming (Primarily north America) and 900 non-retail positions
   After this the company anticipates a 1% decrease in number of company - operated and licensed stores in North America in fiscal year 2025.

2) **Dividend increase**
   Recently, the Board of Starbucks authorized a slight increase in the company's quarterly cash dividend from $0.61 to $0.62 per share.
   Investor Relations at Starbucks
   This demonstrates management's faith in cash flows even during turnaround efforts.
   Nevertheless, boosting dividend payments during periods of weak earnings reduces the amount of money available for debt repayment or reinvestment.

3) Tariffs on Brazilian Coffee Imports
   Starbucks' cost of goods sold (COGS) may increase as a result of proposed 50% tariffs on Brazilian coffee imports under U.S. trade policy. A significant portion of the coffee imported into the United States comes from Brazil.
   According to one analysis, Starbucks' North America COGS may rise by 0.5% while adjusted EBITDA may decrease by approximately 0.8%. Additionally, its retail/packaged coffee (Channel Development) segment may experience a 3.5% increase in COGS, which would further reduce margins.

Investor and Management Perspective

Investor Perspective

Starbucks is seen by investors as a robust worldwide brand with solid foundations and steady shareholder returns. The company's premium positioning, international store expansion, and digital innovation continue to drive sustainable revenue growth in spite of macroeconomic challenges and rising costs.

a) Steady Global Expansion
   Growth in emerging markets (China, India, Middle East)
b) Digital Ecosystem Strength
   Loyalty and Mobile App drive recurring revenue
c) Operational Efficiency
   Supply chain and technology enhance margin
d) Shareholder Value
   Buyback and Dividends ensure investor confidence

Source: Ai Generated

Management Perspective

The management's goal is to grow the company profitably and sustainably while enhancing the Starbucks brand and adjusting to changing consumer preferences. The leadership group highlights:

a) Establishing new stores with an emphasis on convenience formats (drive-thru, mobile pickup, delivery) is one way to accelerate growth.
b) Innovation and Customer Experience: Increasing digital personalization, beverage customization, and sustainability-focused products.
c) Enhancing compensation, benefits, and training to increase engagement and lower turnover is an example of partner (employee) investment.
d) Operational Excellence: Increasing productivity by streamlining procedures and utilizing AI-driven inventory and forecasting systems.
e) Sustainability & Community: Improving local community impact; moving closer to 2030 targets for waste, water, and emissions reduction.

HYPOTHESES

H_{01}: There is no significant difference between Starbucks' intrinsic value and its current market price.

H_{02}: Starbucks' operational and restructuring initiatives have no measurable effect on its future profitability.

H_{03}: ESG and sustainability initiatives do not influence investor sentiment or valuation.

Risk Factors:

Starbucks is facing several major risk factors that may affect its global operations and financial performance:

Supply Chain and Commodity Risks

Starbucks' entire supply chain includes the need to purchase tea, coffee beans, and cocoa beans from over thirty countries worldwide, which makes the company highly dependent on supplier quality and stability, and susceptible to price fluctuations and other input costs. When delivering these products, Starbucks connects consumers in some of the world's wealthiest regions with suppliers in some of the poorest areas. (SecCon., 2015) These suppliers may face limited resources, regional regulatory restrictions, and issues with capacity control. Meanwhile, due to the objective existence of unstable factors such as climate change patterns, crop diseases, and geopolitics in producing countries, the supply of related crops will be significantly affected, and pricing will also experience significant fluctuations. Any temporary lag or interruption in the entire supply chain may have a serious adverse impact on Starbucks' operations and profitability. When there is a potential shortage in the supply chain, such as actual delivered goods not meeting standards, the price of its core products will skyrocket.
Especially considering the frequent interruptions in the global supply chain and the continuous increase in tariffs, coffee expenses alone account for about 10-15% of Starbucks' product and distribution costs. The dynamic changes in inflation and trade policies will exacerbate the danger of this risk factor, which is also reflected in the company's comprehensive operating profit margin for the second quarter of fiscal year 2025, which has decreased by 450 basis points year-on-year. (Research, 2025)

Competition and Substitution Risks

Starbucks inevitably needs to compete with similar brands for potential customers. Dunkin ', McCafé, and Tim Hortons are all its direct competitors. (thestrategystory.com, 2023) The customer positioning of these brands highly overlaps with Starbucks, both aiming to provide coffee beverages and baked goods. Moreover, there are multiple dimensions of competition within the premium coffee market where the company operates: product quality delivered, innovation in customer service, convenience (including mobile ordering and delivery services), and pricing strategy. The main fast-food chains have stable customer traffic, which may reduce some potential customers visiting Starbucks stores. With the surge in the number of specialty coffee shops, it will also increase the competition for market share in the specialty coffee market, which may pose a threat to Starbucks' market share being squeezed. At the same time, substitutability is also a major risk factor in the food and beverage industry. Consumers may choose to switch to home brewing machines or instant coffee as an alternative to purchasing Starbucks products. (Pereira, 2025) These beverages are typically cheaper and more convenient. And the company's pricing strategy also makes it particularly vulnerable during economic downturns, as consumers may switch to cheaper similar products, such as coffee products from chain convenience stores.

Reputation and ESG Risks

The brand image of Starbucks is closely related to its positive attitude and commitment to sustainable development, ethical procurement, and social responsibility. This positive positioning not only creates a unique competitive advantage for it but also brings some risks. If the company engages in any behaviour that does not comply with these commitments, it could quickly lead to damage to Starbucks' brand reputation and even result in serious legal and financial consequences. One area that requires special attention is the C.A.F.E. Practices it practices. Through this program, we aim to ensure that the company meets the supervisory standards of SCS Global Services in four major areas: economic transparency, social responsibility, environmental leadership, and quality. (starbucks.com, 2024)

At the same time, Starbucks has committed to achieving a 50% reduction in carbon emissions, water usage, and waste in its production lines by 2030, and showcased its plans to distribute nearly 100 million climate-resistant coffee trees and expand its reusable cup program in its 2024 Global Impact Report. However, progress in updating packaging and reducing waste has been slower than expected. Failure to achieve these goals may result in negative ESG ratings, investor withdrawals, and a decrease in consumer trust.

CEO&CFO Discussion:

The leadership transition at Starbucks between 2024 and 2025 demonstrates its strategic shift. Brian Niccol successfully turned Chipotle Mexican Grill around after the food safety crisis and was appointed as the CEO of Starbucks in September 2024. (Edgecliffe-Johnson, 2025) Niccol's strategic vision for Starbucks revolves around his "Return to Starbucks" initiative. This plan is a highly comprehensive rectification work, which aims to restructure the company comprehensively and restore its basic principles as a high-end coffee brand. The specific implementation includes closing underperforming stores, canceling some corporate positions, and renovating multiple coffee shops. And it emphasizes reallocating resources closest to customers, enhancing digital ordering and loyalty program innovation, aiming to build a "better, stronger, and more resilient Starbucks". (Company, 2025)

Meanwhile, in addition to Niccol's operational integration work at Starbucks, Cathy Smith will serve as Starbucks' Chief Financial Officer in March 2025, responsible for stabilizing financial performance, restoring profitability, and supporting international expansion. (Lucas, 2025) Analysts predict that Smith will implement strict cost discipline and may stabilize Starbucks' financial performance by adopting zero-based budgeting to increase operating profit margins. Secondly, Smith will also play a central role in formulating Starbucks' international expansion strategy, and her expertise in global retail will be crucial for Starbucks' subsequent expansion plans. Finally, she is responsible for overseeing the capital allocation and merger integration within Starbucks to ensure that any future acquisition plans align with the brand's renewed focus on core business.

Analytical Assessment of M&A Strategy:

Starbucks' merger and acquisition strategy shows a dual direction. It will combine a market share acquisition plan aimed at expanding consumer products with agricultural investments aimed at ensuring long-term supply chain stability.

From its acquisition history, the company has been seeking to acquire market share to diversify its product portfolio and strengthen its retail proposition. Starbucks has expanded its product line beyond coffee through strategic acquisitions, integrating tea, baked goods, juice, and bottled water into its core brands. Several examples include buying Teavana for $620 million in 2012; Starbucks acquired San Francisco-based La Boulanger for $100 million in

2012; $30 million acquisition of Evolution Fresh in 2011. (Reiff, 2025) Furthermore, Starbucks is more inclined to integrate them into its original retail ecosystem after acquisition, rather than operating them as independent businesses. This strategy makes it more effective in product innovation.

On this basis, Starbucks announced in 2024 that it will further expand its "Coffee Innovation Network" by acquiring and operating farms located in Guatemala and Costa Rica as its research and development center for climate-adapted coffee varieties. (McMillan, 2024) In addition, the company has established ten farmer support centers worldwide to provide training for farmers in soil management, water conservation, and crop disease resistance. Unlike market acquisitions aimed at consumer growth, investments and acquisitions in agriculture have strengthened Starbucks' supply chain resilience and sustainability.

Financial statements analysis 2021-2024-TTM

Starbucks Income Statement Trends (2021–2024, including TTM)

Starbucks saw strong revenue growth after the pandemic, but recent years show pressure on margins and profitability. The sections below summarize key movements across major line items and what's driving them.

A. Revenue and Top Line Trends

After the pandemic, Starbucks reported double-digit revenue growth in 2022 and 2023, supported by new store openings, higher prices, and bigger ticket sizes. Growth slowed sharply in 2024 to only 0.6%, with management citing weaker transaction frequency and a tougher consumer environment in North America and China. Company-operated stores still generate over 80% of total revenue. Despite higher average spend, traffic dropped across most markets.

B. Cost of Revenue and Gross Profit

Costs have risen with sales, but margins weakened as Starbucks faced inflation in wages, milk, and coffee, along with higher store and promotional costs. Gross margin fell from 29% in 2021 to 26.9% in 2024, and to about 23.7% in the TTM. Management has repeatedly cited wage pressures and lower traffic as main drivers of this contraction.

C. Operating Expenses and Margin

Operating costs increased steadily, especially labor and administrative expenses, despite efficiency and tech investments. Operating margin peaked at 15.4% in 2023 but dropped to 14.2% in 2024 and around 10.5% in the TTM. The decline reflects inflation, partner compensation from the "Reinvention Plan," and higher promotional spending.

D. Net Income and Profit Margin

Net income peaked post-COVID in 2021, dipped in 2022, recovered in 2023, and fell again in 2024 as growth flattened, and costs rose. Profit margin is now around 7.2% (TTM), a post-pandemic low due to fixed cost pressure and heavier discounting.

Segment Highlights

- **North America:** Q4 2024 sales fell 3% with transactions down 10%; operating income dropped 22% from weak traffic and higher labour and promo costs.
- **International:** Revenue softened on slower China demand and currency effects, while costs climbed.
- **Channel Development:** Ready-to-drink and alliance sales slipped slightly, but margins held firm through cost control.

Overall Takeaways

- Post-pandemic revenue growth has stalled as competition and traffic softness increase.
- Rising wages and input costs continue to weigh on margins.
- SG&A and promo spending are up as Starbucks prioritizes partner pay and customer recovery.
- Net income and profit margins have fallen, reflecting inflation and slower demand.

Starbucks Cash Flow Statement Analysis (2021–2024 & TTM)

Starbucks's cash flows show strong operating generation, heavier capex, and volatile financing, reflecting reinvestment and steady shareholder returns.

1. Operating Cash Flow

OCF rebounded to about $6B in 2021 but dropped 26% in 2022 as margins and working capital turned negative. It recovered in 2023-2024 with better earnings and non-cash addbacks but fell 24% again in the TTM, showing weaker profit quality. Depreciation is up to $1.7B, stock-based compensation steady near $300M, and working capital remains volatile due to inventory buildup and slower turnover.

2. Investing Cash Flow

Capex has nearly doubled- from $1.5B in 2021 to $2.8B in 2024—as Starbucks modernizes stores, expands digitally, and upgrades supply chains. Total investing outflows stay around -$2.8B, including small tech acquisitions and equity investments.

3. Financing Cash Flow

Starbucks continues large shareholder returns: dividends of $2.1–$2.7B and buybacks up to $4.1B in profitable years. Debt issuance varies with refinancing and capex needs, keeping net financing outflows consistently high.

4. Free Cash Flow & Trends

Free cash flow fell from post-COVID highs to about $2.3B (TTM), with margins sliding from 15.6% in 2021 to 6.1%. Cash generation remains solid, but rising reinvestment and lower profits are squeezing flexibility.

Starbucks Balance Sheet Analysis (2021-TTM 2025)

Between 2021 and TTM 2025, Starbucks's balance sheet shows asset growth, higher leverage, and continued negative equity driven by reinvestment and buybacks.

1. Assets

Total assets grew by about $6B since 2022, led by store and tech investment. Cash recovered to $4.2B after earlier payouts. Inventory rose to $2.26B, reflecting slower turnover and larger stock buffers. Property, plant, and equipment now $18.5B is Starbucks's biggest asset, up $4B since 2021.

2. Liabilities

Liabilities keep climbing as Starbucks funds expansion and shareholder returns through debt and leases. Total debt rose $4.3B since 2021 to $14.6B, while current liabilities now exceed $11B from payables, unearned revenue, and accrued expenses. Lease obligations are around $9B, tied to new stores and long-term rentals. Unearned revenue from Rewards and prepaid cards remains a major liquidity source.

3. Equity and Solvency

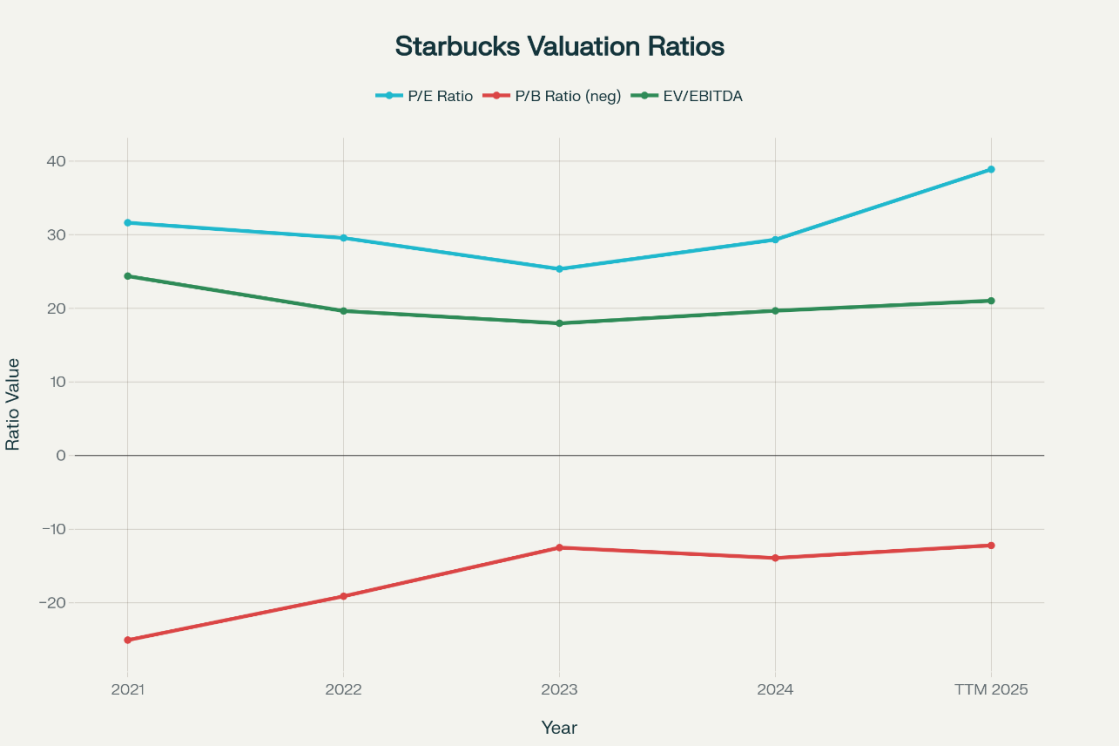
Shareholder equity remains negative at about -$7.7B, mainly from buybacks and dividends, not financial weakness. Retained earnings are negative despite regular profits, typical for cash-generative, leveraged firms focused on capital efficiency.

Key Trends

- Continuous investment in stores and technology.
- Rising liabilities as debt and leases fund expansion.
- Structural negative equity due to sustained buybacks.
- Negative working capital supported by prepaid sales but vulnerable to demand shocks.

Financial Ratio Analysis

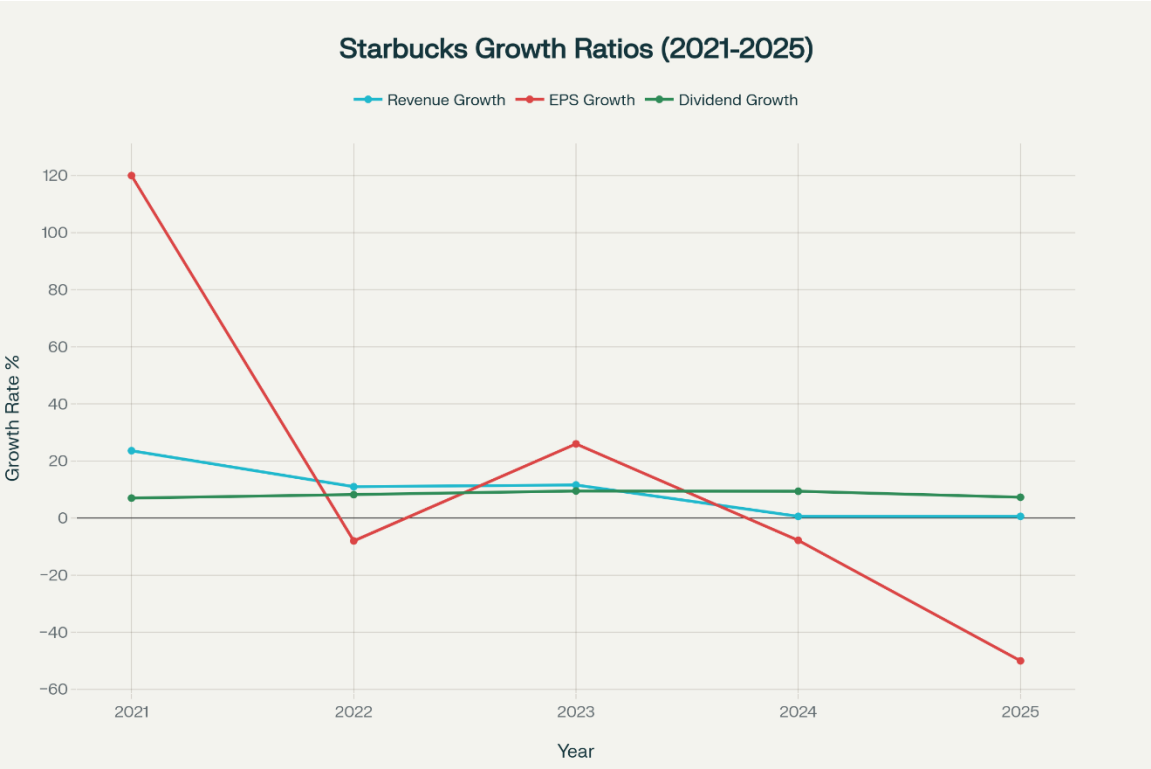
- **Valuation ratio**



Market valuation has responded to shifts in growth and profitability:

- **P/E Ratio:** Fell from 31.6 in 2021 to 25.3 in 2023 due to growth concerns and rising costs; surged above 38 recently signaling renewed investor optimism.
- **P/B Ratio:** Negative due to shareholder buybacks, improving from about -25 in 2021 to -12 more recently, indicating some book value stabilization.
- **EV/EBITDA:** Decreased from 24.4 in 2021 to around 18 in 2023, then rose above 21 more recently, reflecting earnings and enterprise value fluctuations.
- **Overall:** Valuations softened during inflation but rebounded with expectations for long-term brand strength and strategic repositioning

- **Growth Ratio**

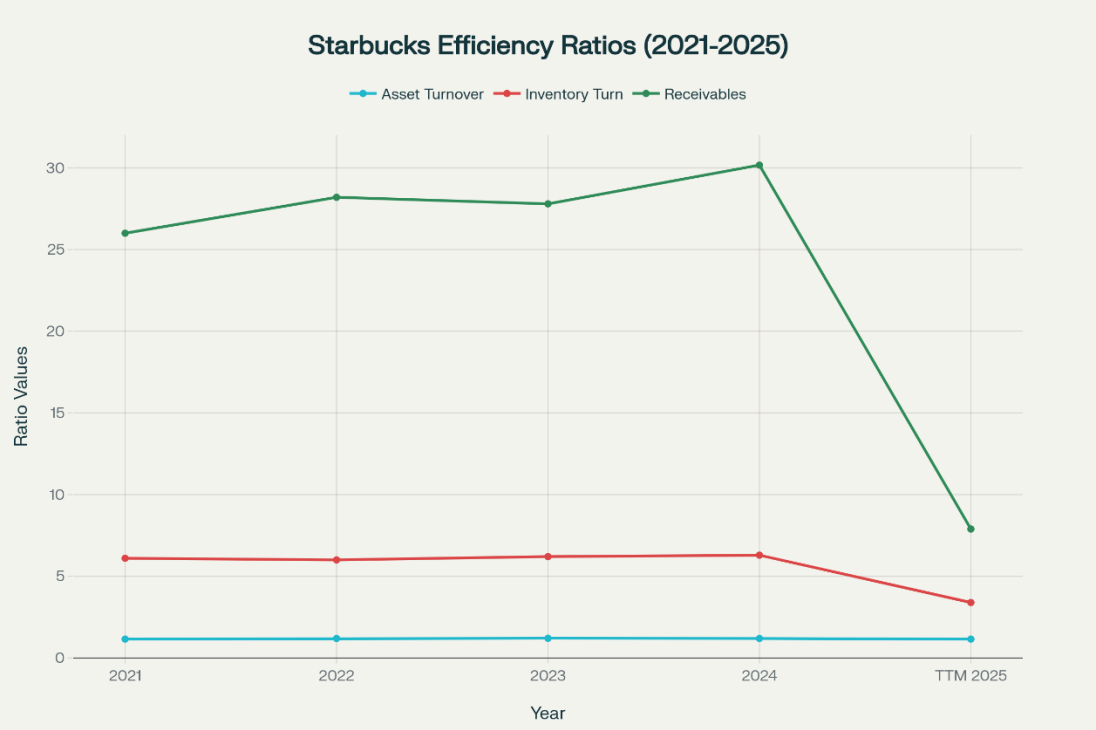


Starbucks's growth follows a pandemic recovery trajectory shifting to mature, slower expansion.

- **Revenue Growth:** Dropped 18.5% in 2020, rebounded 23.6% in 2021, grew 11% in 2022–2023, then slowed to 0.6% in 2024 and recent trailing months.
- **EPS Growth:** Paralleled revenue swings, plummeting 71% in 2020, soaring 120% in 2021, rising 26% in 2023, with declines again in recent quarters.
- **Dividend Growth:** Consistently raised dividends by ~7–9% annually, reflecting confidence in cash flow despite earnings volatility.

Overall: The company has shifted from growth rebound to stability phase, needing to focus on earnings stability and innovation amid evolving consumer trends.

- **Efficiency Ratio**

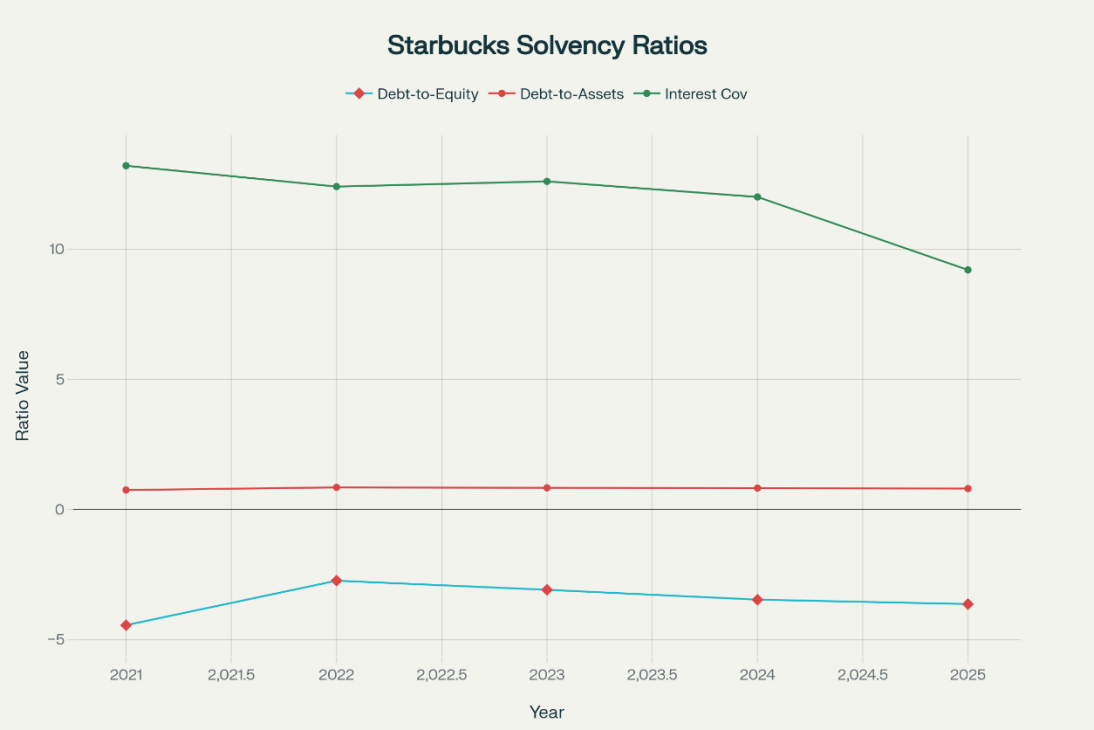


Starbucks shows steady operational efficiency, but recent indicators suggest caution.

- **Asset Turnover:** Stable between 1.1× and 1.2× since 2021, up from 1.07× in 2020, indicating consistent revenue generation against asset base.
- **Inventory Turnover:** Around 6× annually, showing effective inventory management. Slight slowdown in TTM 2025 to 3.4× may indicate buildup or sales softening.
- **Receivables Turnover:** Strong at 28–30× through 2024 due to prepaid/digital payment velocity. Dropped recently to 7.9×, possibly due to changing credit terms or customer behavior.

Overall: Efficiency remains solid but slipping turnover rates may point to early working capital management challenges amid softer demand.

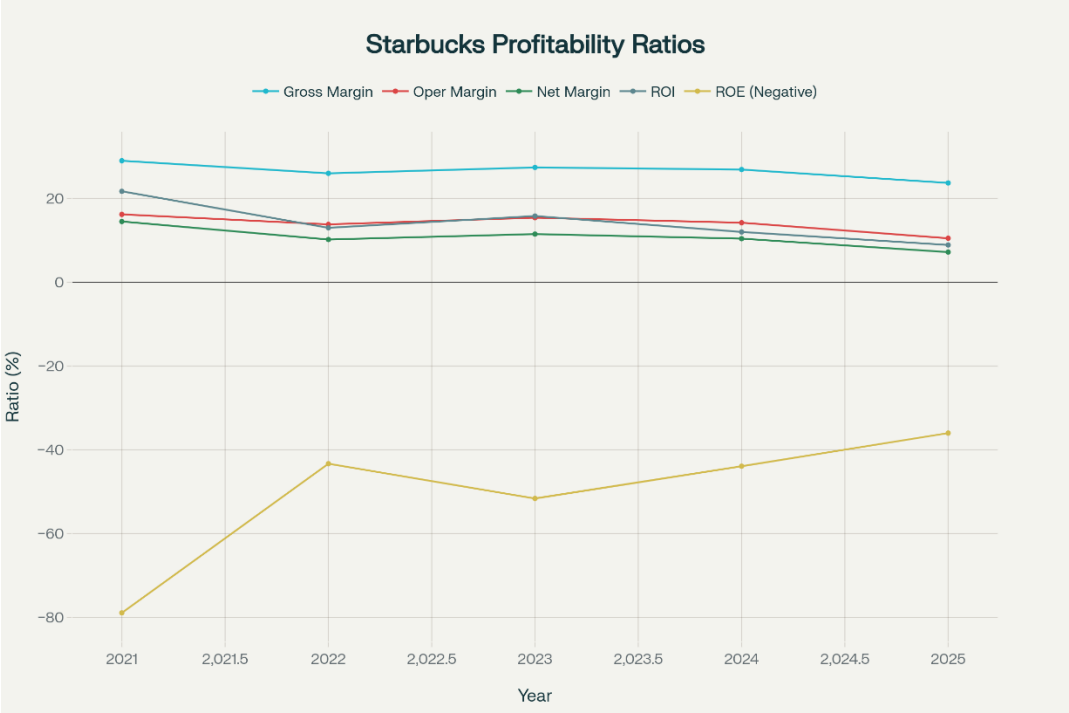
- **Solvency Ratio**



Starbucks shows a consistently leveraged capital structure driven primarily by debt-financed expansion and shareholder returns, resulting in negative equity.

- **2021:** Debt-to-equity ratio at -4.44 (negative equity), with debt about 75% of assets and healthy interest coverage at 13.2×.
- **2022:** Elevated leverage; debt ratio rose to 85% with interest coverage still solid at 12.4×.
- **2023–2024:** High leverage maintained (debt-to-equity near -3.3), with interest coverage declining slightly to about 12×, reflecting heavier financing burden.
- **TTM 2025:** Debt remains 80% of assets; interest coverage slips to 9.2× amid margin pressures.
- **Overall:** Despite high leverage and negative equity, Starbucks sustains solvent financial health with strong earnings and cash flow. The strategy prioritizes shareholder return over deleveraging, which poses risks if earnings decline but remains manageable now

- **Profitability Ratio**

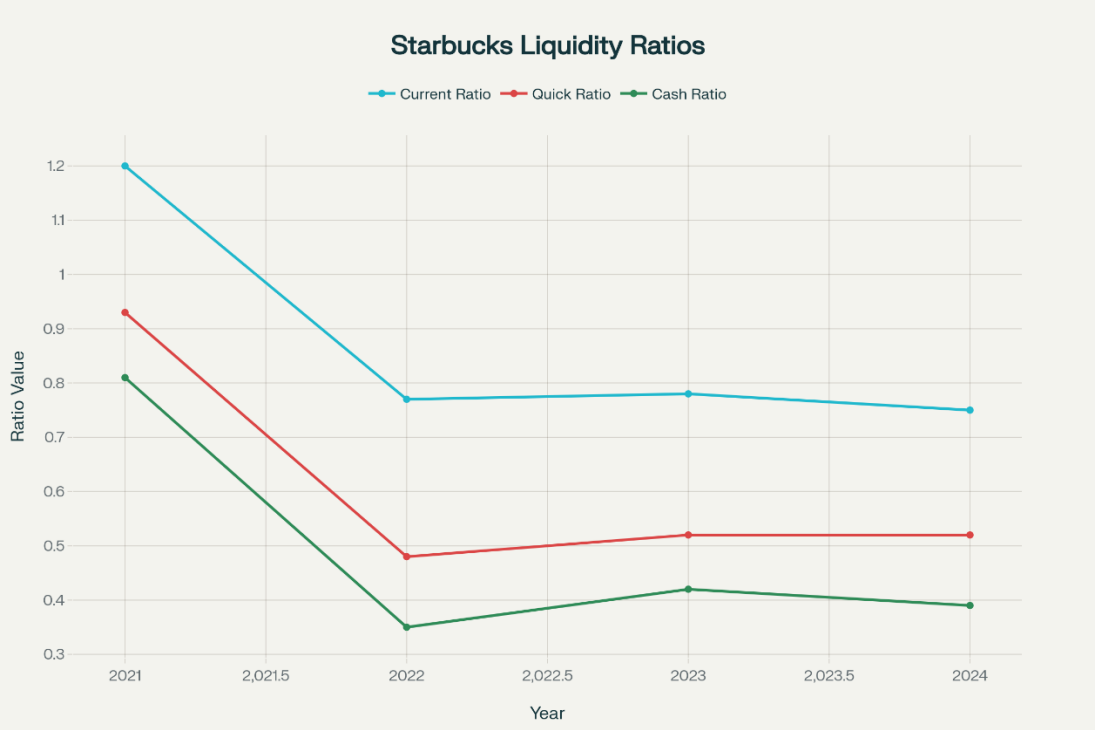


Profitability saw a clear pandemic impact followed by rebound and recent margin pressure.

- **2019–2020:** The pandemic caused a sharp drop in margins; net margin fell from 13.6% to 3.9%, operating margin nearly halved, ROI plunged, and negative equity worsened ROE.
- **2021:** Strong recovery across all metrics — gross margin at 29%, net margin 14.5%, ROI above 21%, despite negative equity continuing.
- **2022–2024:** Margins tightened as inflation, wage growth, and promotions reduced profits. Net margin hovered near 10%, and ROI and operating margin declined moderately.
- **TTM 2025:** Gross margin dropped to 23.7%, net margin to 7.2%, operating margin to 10.5%, ROI below 9%. Negative ROE persists, though slightly improved.

Overall: The brand remains profitable but faces cost inflation and margin pressures. Operational efficiency and cost control are crucial to sustain profits long term.

- **Liquidity Ratio**



Starbucks's liquidity position has steadily weakened over five years, reflecting tighter short-term financial flexibility.

- **2021:** Strong liquidity with a current ratio of 1.20 and quick ratio of 0.93, indicating a comfortable buffer to meet obligations after the pandemic shock.
- **2022:** Sharp decline (current 0.77, quick 0.48) due to reduced cash reserves caused by aggressive dividend payments and share buybacks coupled with increased short-term debt.
- **2023–2024:** Minor improvement, with current ratios around 0.75 and quick ratios near 0.52, showing growing dependence on operating cash flow for liquidity needs.
- **TTM 2025:** Slight rise (current 0.76, quick 0.55), but figures remain below historic norms, signaling a thinner liquidity cushion.

- **Overall:** Starbucks is not in liquidity distress but must carefully manage working capital and short-term liabilities amid a constrained cash buffer, especially with softer consumer spending and inflationary cost headwinds

Accounting Analysis and Approach Moving Forward

Revenue Recognition
The firm's revenue is fundamentally retail-driven, as the majority of revenue is recognised at the point of sale within the firm's operated stores. The firm has limited exposure to long-term backlog contracts. We analysed two notable alternative revenue recognition methods, evaluating the influence on the firm's financial statements through previous years and up to the Annual 2024 10-K, as well as the recent quarterly reports through 2025. We have summarised our evaluation as per below:

Nestle Global Coffee Alliance
During the fiscal year of 2018, the firm licensed rights to Nestlé to sell authorised products in exchange for an upfront payment of $7 billion. This payment is recognised as deferred revenue on an amortised straight-line basis across forty years. In FY-24, the firm carried $5.8 billion and $177 million in non-current and current deferred revenue, respectively, decreasing from $6-billion in FY23. The rate is reflective of Starbucks' anticipated performance obligation requirements to support the Global Coffee Alliance with Nestlé, but avoids front-loaded profit. This is a conservative revenue recognition approach, spreading income recognition, but the long-term 40-year time-horizon will require management judgment regarding brand durability, dependent upon the economic life of the licence, while reassessments to the rate of amortisation will affect earnings.

Unredeemed Stored Value Card Liabilities and unredeemed Loyalty Programme 'Stars'
Prepayments through gift cards and loyalty points are deferred until redemption or at an estimated breakage, ie, expected to go unredeemed. As of FY23, deferred stored value card revenue totalled approximately $1.56 billion compared to FY24 $1.70 billion (+0.14), whilst following a similar trajectory into FY25, being $1.84 billion as of quarter ended June 2025. Overly aggressive estimations of breakage can inflate short-term revenue. The firm's recognition of breakage shows a conservative approach with consistent accuracy and depends upon a comprehensive historical redemption pattern within each regional market.

Acquisitions & Goodwill
Historically, Starbucks' growth strategy has involved acquisitions, but in recent years, organic growth has been the main revenue driver. Goodwill has remained relatively flat since 2022, with minor fluctuations resulting from foreign currency translation and the acquisition of 23.5 Degrees Topco Limited, which expanded the firm's fully owned portfolio in FY25 Q1 for $106.7m
Goodwill stood at 10.6% as a percentage of total assets within the FY24 10K, whilst management's impairment tests indicated no write downs, whilst also explicitly stating 'significant excess fair value over carrying values' (Starbucks FY24 Annual Report) across reporting units, signalling confidence. This has continued through FY25 up to the most recent quarterly report.
We concluded that the ratio of goodwill to assets is not of major concern, remaining slightly more exposed yet still fairly moderate in comparison with major competitors such as McDonald's (5.69%) (Yahoo Finance, 2025). Historical financial statements reveal no material standalone goodwill write-downs in recent years, even throughout periods of macroeconomic pressure and turbulence. Although considering slightly optimistic management forecasts, only a sustained decline in regional profitability or weaker forecasts may pressure the goodwill balance, assuming continuation of the previously mentioned cushion, albeit, goodwill is not a comprehensive indicator of overall current or future strength, given the strategic move towards increasing the wholly owned store portfolio.

Leases and Off-Balance Sheet Commitments
Starbucks has relied on significant operating leases for its global store base. The firm recognises right-of-use assets and operating lease liabilities, reducing opacity since the introduction of ASC 842 as explained within the PWC Leases Guide (2024).
In the FY2024 10-K, the firm reported $2.88 billion in total lease costs, consisting of $1.13 billion in variable costs with $26.8 million in short-term lease costs. Operating lease liabilities were reported at $2.26 billion, whilst weighted average remaining operating lease terms were 8.6 years discounted at

3.4%. As of the most recent quarterly report, FY25 10Q3, the average lease term goes unchanged, while the weighted-average operating lease discount rate is up to 3.6% including leases obtained from the acquisition of the 23.5 Degrees Topco Limited UK store portfolio.
Notably, the firm has entered into $1.6 billion operating leases, primarily future real estate leases that are yet to commence ie. this will mean future lease obligations for unopened stores and are not accounted for in the balance sheet. This must be noted as a balance sheet exposure, as the firm is committing capital before any revenue is actually generated.
Relative to the long-term debt of $14.5 billion as of June FY25 10Q, lease obligations are moderate yet still material.

Restructuring Charges and One-off Items

Starbucks has not reported major restructuring changes in recent years. In the FY21 Annual Report, $89.5 million in restructuring costs were recognised to accelerate lease amortisation and store optimisation. In recent years, restructuring has been immaterial in the context of the firm's overall financial statements.
In recent weeks, an 8-K SEC filing announced a $1 billion restructuring plan, of which 90% of expenses will be focused within the US and North American region and should be incurred within FY25.
This includes $150 million in separation fees, $400 million on asset impairment and $450 million on accelerated amortisation of right-of-use lease assets. This amount equates to around 25%-30% of the total operating income within the FY24 income statement and thus will noticeably distort profitability and margin ratio comparability in the FY25 10-K relative to previous years, yet strengthen comparability of store margins and likely increase medium to long-term returns.
These restructuring expenses in FY25 have the purpose of closing weak stores and modernising store footprint across North America, likely hurting short-term profitability in the 2025 10K. As North America is the firm's most mature and profitable region, we expect a short-term dip, yet long-term benefits will be reflected through slightly stronger future margins.
For valuation purposes, EBIT will be normalised, excluding this temporary and non-recurring expense, to reflect the firm's long-term sustainable operating performance on the assumption that this expense is immaterial to long-term valuation.

Conservative vs Aggressive Accounting Practices	
Conservative	**Aggressive/Risks**
Spreading the Nestle licensing fee across 40 years, smoothing reported revenue	Potential use of the FY2025 $1bn restructuring as an earnings reset, inflating "clean" forward EPS.
Transparent lease disclosures post-ASC 842, with explicit detail on variable and uncommenced leases.	Optimistic assumptions in goodwill impairment tests; no impairments despite macro headwinds could indicate delayed recognition
Limited reliance on restructuring charges in recent years, avoiding opportunistic "big bath" write-downs.	

VALUATION

Valuation - Starbucks US

PARTICULARS		NEAR TERM FORECAST					FAR TERM FORECAST										CV
	FY 2024	FY 2025	FY 2026	FY 2027	FY 2028	FY 2029	FY 2030	FY 2031	FY 2032	FY 2033	FY 2034	FY 2035	FY 2036	FY 2037	FY 2038	FY 2039	Perpetuity
FCFF Valuation Model:																	
t	0	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
g																	3.50%
WACC																	8.49%
FCFF	$ 1,573.97	$ 1,442.61	$ 3,510.64	$ 4,102.42	$ 4,332.70	$ 4,859.98	$ 5,262.93	$ 5,821.82	$ 6,362.15	$ 7,005.36	$ 7,681.58	$ 8,446.02	$ 9,273.66	$ 10,192.65	$ 11,197.78	$ 12,306.79	$ 13,523.96
PV of FCFF		$ 1,329.72	$ 2,982.69	$ 3,212.71	$ 3,127.52	$ 3,233.60	$ 3,227.67	$ 3,291.02	$ 3,315.02	$ 3,364.52	$ 3,400.58	$ 3,446.40	$ 3,487.99	$ 3,533.63	$ 3,578.29	$ 3,624.93	
Continuing Value																$ 2,71,021.28	
PV of Continuing Value																$ 79,828.46	
Enterprise (Firm) Value		$ 1,27,984.73															
Total Debt (Book Value of Debt)		$ 29,710.90															
Total Equity		$ 98,273.83															
Number of Outstanding Shares		1133.50															
Intrinsic Value per share		$ 86.70															
Current Price per share (02/10/2025)		$ 86.72															
FCFE Valuation Model:																	
t	0	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
g																	3.50%
Cost of Equity																	9.34%
FCFE	$ 2,767.20	$ 2,112.90	$ 4,217.88	$ 4,598.33	$ 4,851.09	$ 5,401.51	$ 5,828.31	$ 6,130.67	$ 6,682.24	$ 7,336.92	$ 8,024.83	$ 8,801.21	$ 9,641.02	$ 10,572.42	$ 11,590.21	$ 12,712.14	$ 13,942.49
PV of FCFF		$ 1,932.41	$ 3,528.06	$ 3,517.73	$ 3,394.09	$ 3,456.37	$ 3,410.89	$ 3,281.36	$ 3,271.07	$ 3,284.75	$ 3,285.83	$ 3,295.89	$ 3,301.98	$ 3,311.67	$ 3,320.35	$ 3,330.68	
Continuing Value																$ 2,38,741.22	
PV of Continuing Value																$ 62,552.02	
Total Equity		$ 1,11,475.15															
Number of Outstanding Shares		1133.50															
Intrinsic Value per share		$ 98.35															
Current Price per share (02/10/2025)		$ 86.72															

Starbucks' intrinsic value was assessed using both the Free Cash Flow to Firm (FCFF) and Free Cash Flow to Equity (FCFE) approaches. A terminal growth rate of 3.5%, below the estimated global coffee market CAGR of 4–5%, was applied in light of Starbucks' recent slowdown in comparable sales, margin compression, and restructuring-related disruption. Weighted Average Cost of Capital (WACC) and Cost of Equity (COE) were sourced directly from Bloomberg, resulting in a WACC of 8.49% and COE of 9.34%, ensuring market-consistent discounting.
On this basis:
FCFF valuation = $86.70 per share
FCFE valuation = $98.35 per share
Current market price (source: Bloomberg) = $86.72

Under the FCFF model, Free Cash Flow to Firm (FCFF) is projected to grow from $1,573.97 million in FY2024 to $13,523.96 million in perpetuity, resulting in a discounted continuing value of $271,021.28 million. After adjusting for total debt of $29,710.90 million and dividing by 1,133.50 million shares, the equity value per share arrives at $86.70.

The FCFE model begins with an initial FCFE of $2,767.20 million in FY2024, expanding to $13,942.49 million in perpetuity. Discounting yields a continuing value of $238,741.22 million, which, when allocated to equity holders, results in an intrinsic share price of $98.35.

Forecast assumptions were grounded in historical financial behaviour rather than aggressive growth projections. Operating margins, working capital movements and capital expenditure were projected using long-term averages derived from the Historical & Forecast Ratio sheet. Reinvestment intensity was moderated to reflect ongoing store rationalization and operational resets.

A key adjustment was made to equity growth assumptions. Historical analysis of shareholder equity between 2015 and 2024 revealed extreme volatility, primarily due to large-scale share repurchases and episodic retained earnings fluctuations. To avoid skewing forward projections, anomalous years were excluded, resulting in an adjusted average equity growth

rate of -0.18%, consistent with Starbucks' capital return strategy and supportive of a conservative FCFE profile.

Taken together, the valuation results suggest that Starbucks is trading broadly in line with intrinsic value. The FCFF output indicates fair value, while FCFE implies moderate upside but insufficient to justify a strong Buy stance. Given current restructuring headwinds and soft demand trends in key markets, the risk-reward balance supports a **neutral Hold recommendation**, with upside contingent on successful execution of the turnaround strategy.

DDM VALUATION

Starbucks' stock is a little undervalued and should be recommended as a "Hold" according to the Dividend Discount Model, which places its intrinsic value at $91.29 per share compared to its current market price of $86.40.

In order to increase shareholder value by decreasing the number of shares and increasing returns per share, the analysis takes into account a cost of equity (Ke) of 7.21%, long-term stable growth of 4.5%, and a consistent buyback yield of 1.8%.

	Dividend Discount Model.										
	Projected Dividends										
	NEAR TERM						FAR TERM				
Year	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Quarterly Dividends	0.61	0.62	0.64	0.65	0.67	0.68	0.70	0.73	0.75	0.77	0.81
Annual Dividends	2.44	2.48	2.54	2.61	2.67	2.74	2.82	2.90	2.99	3.08	3.24
Growth Rate	7.02%	1.64%	2.50%	2.50%	2.50%	2.50%	3%	3%	3%	3%	5%
Buyback Yield	1.80%	1.80%	1.80%	1.80%	1.80%	1.80%	1.80%	1.80%	1.80%	1.80%	1.80%
Buyback per share	1.56	1.56	1.56	1.56	1.56	1.56	1.56	1.56	1.56	1.56	1.56
Effective Dividend	4.00	4.04	4.10	4.16	4.23	4.29	4.37	4.46	4.55	4.64	4.79
Discount factor	0.933	0.870	0.812	0.757	0.706	0.659	0.614	0.573	0.534	0.498	0.465
PV of Effective Dividend	3.73	3.76	3.56	3.38	3.20	3.03	2.88	2.74	2.60	2.48	2.39

RESULT		
ACTUAL PRICE	86.4	
INTRINSIC VALUE	91.29	SLIGHTLY UNDERVALUED
		HOLD

Overall, a modest upside potential is supported by consistent dividend growth, frequent share repurchases, and a strong brand position, all of which indicate financial stability and ongoing investor confidence in Starbucks' long-term growth strategy.

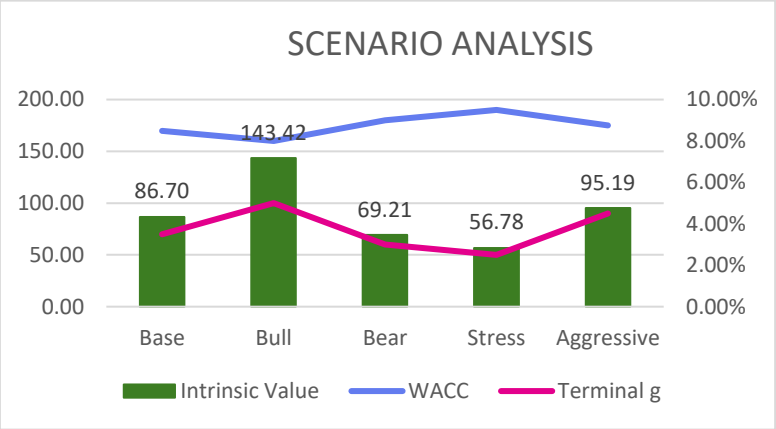
SCENARIO ANALYSIS

Starbucks' steady risk profile is reflected in its low beta (0.7), which is the basis for its cost of equity (7.21%). Its mature but steady global expansion is supported by a 4.5% long-term growth rate, and total shareholder returns are considered by the 1.8% buyback yield.

Scenario	WACC	Terminal g	Intrinsic Value	Description
Base	8.49%	3.50%	86.70	Normalized growth; steady expansion; mid-cycle margins.
Bull	8.00%	5.00%	143.42	Strong global growth, pricing power, improved efficiency
Bear	9.00%	3.00%	69.21	consumer demand, margin pressure and slower same-store growth
Stress	9.50%	2.50%	56.78	Severe slowdown—traffic drops, inflation squeezes margins, slower store rollout.
Aggressive	8.75%	4.50%	95.19	Rapid store openings, high reinvestment, moderate margin compression.

Starbucks is marginally undervalued, as evidenced by the fact that its intrinsic value of $91.29 per share is marginally higher than the current market price of $86.40. The stock has a limited margin of safety but moderate upside potential due to its steady buybacks, robust cash flows, and consistent dividend growth.

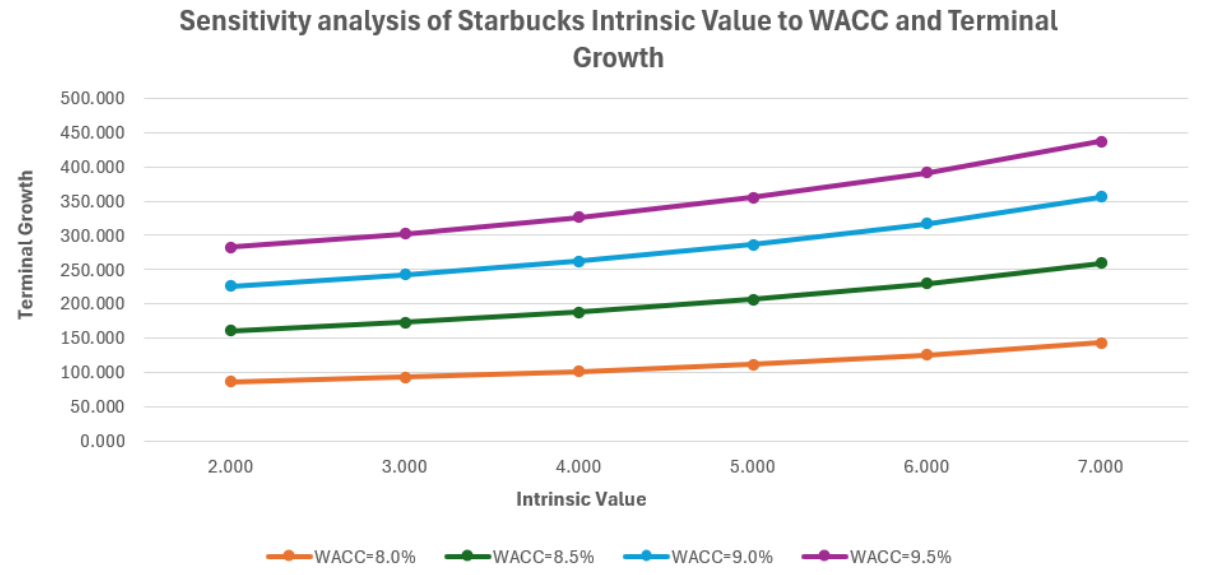
In conclusion, for long-term, income-focused investors, Starbucks is still a good HOLD (or cautious BUY).



SENSITIVITY ANALYSIS

Under the assumptions of optimistic growth (≥3.5%) and a stable discount rate (≤8.5%), Starbucks' stock looks fairly valued to slightly undervalued, bolstering a moderate hold recommendation based on long-term growth confidence

		WACC			
	86.70	**0.080**	**0.085**	**0.090**	**0.095**
Terminal Growth	**0.025**	86.33	74.73	65.01	56.78
	0.030	93.17	80.05	69.21	60.14
	0.035	101.53	86.43	74.18	64.06
	0.040	111.98	94.23	80.13	68.69
	0.045	125.41	103.98	87.41	74.25
	0.050	143.32	116.51	96.51	81.05


Sensitivity analysis of Starbucks Intrinsic Value to WACC and Terminal Growth
Terminal Growth
500.000
450.000
400.000
350.000
300.000
250.000
200.000
150.000
100.000
50.000
0.000
2.000
3.000
4.000
5.000
6.000
7.000
Intrinsic Value
WACC=8.0%
WACC=8.5%
WACC=9.0%
WACC=9.5%

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Conclusion

The null hypotheses (H_{o1}, H_{o2}, and H_{o3}) are partially rejected in light of the analysis. A hold recommendation is supported by the valuation results, which show that Starbucks' intrinsic value and current market price are nearly equal. Nevertheless, this implies only a slight discrepancy, suggesting a partial acceptance of H_{o1}. It is anticipated that the company's recent operational and restructuring efforts will increase long-term profitability, which will result in H_{o2} being rejected. H_{o3} was rejected because of the company's strong ESG performance and sustainability commitments, which also continue to boost investor confidence and brand reputation. All things considered, Starbucks exhibits sound fundamentals, modest room for expansion, and a promising long-term outlook.

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